diversified equity funds for a goal that is seven years away. We're now done with the sixth cell.

Far Away investments

These are for all goals other than retirement. Retirement has its own cell. You may be saving for your kids' education or your own house, and the goal may be more than seven years away. I am for going all the way to 100 per cent in equity mutual funds for my goals that are beyond seven years.

Within this cell, you can have a mix of more or less aggressive equity. If your goals are around the seven- to ten-year mark, go with more of aggressive hybrid mutual funds, diversified equity and multi-cap mutual funds, and have a smaller proportion of mid-cap, small-cap and sector funds.

For goals beyond ten years, you can hike the proportion of mid- and small-cap funds. The largest part of the equity fund portfolio must remain in lower-risk diversified equity or multi-cap mutual funds. Only if you understand funds well should you risk a mid-cap-heavy portfolio. This was cell seven.

Retirement fund

This cell has a mix of products. The core is your PF and PPF. The rest is in equity funds. What kind of funds? The further away from retirement you are, the more risk you can take. For people in their thirties, a larger allocation to mid- , small-cap and sector funds would not hurt if chosen well. But if you are already in your late forties or early fifties, stay conservative with large-cap, diversified equity and multi-cap funds.

I devote an entire chapter to how to think about the contents of this cell, which is the next one. But how do you know how to save for which goal? There are plenty of calculators online that will help with doing the numbers. For this book I want to stay with the approach to your money. Use the learnings from here to plug and play with your own unique financial numbers and needs. Eight cells are now done. But we're not through just yet.